

Unit 2: Microeconomics

1. Meaning of Demand

Demand refers to the quantity of a commodity that consumers are **willing and able to buy** at a given **price** during a **specific period of time**.

Components of Demand

- Desire for the commodity
- Willingness to pay
- Ability to pay
- Price of the commodity
- Time period
- Quantity of the commodity

Difference between Desire and Demand

Basis	Desire	Demand
Meaning	Wish to have a commodity	Desire backed by willingness and ability to pay
Example	Wanting a car	Wanting and being able to buy a car

2. Types of Demand

1. Direct Demand

- **Price Demand** – Demand affected by price.
- **Income Demand** – Demand affected by income.
- **Cross Demand** – Demand affected by the price of related goods.
 - *Substitute goods* (tea and coffee)
 - *Complementary goods* (car and petrol)

2. Indirect (Derived) Demand

– Demand for goods used to produce other goods (e.g. demand for labor, raw materials).

3. Joint Demand

– Two or more goods used together (e.g. bread and butter).

4. Composite Demand

– One good used for multiple purposes (e.g. milk for tea, sweets, etc.).

5. **Competitive Demand** – Goods that can replace one another (tea vs. coffee).
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3. Determinants of Demand

1. Price of the commodity
 2. Income of the consumer
 3. Prices of related goods
 - Substitute goods
 - Complementary goods
 4. Taste and preference
 5. Advertisement
 6. Income distribution
 7. Size and composition of population
 8. Consumer's expectations
 9. Availability of credit
 10. Climate and weather
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4. Law of Demand

Definition: Other things remaining the same, the quantity demanded of a commodity **increases when its price falls** and **decreases when its price rises**.

Assumptions

- Constant income, taste, habits, climate, and population
- No change in related goods' prices or expectations

Exceptions to the Law of Demand

- Future price expectations
- Giffen goods
- Prestigious goods
- Ignorance

- Change in fashion, habit, or preference
- Prosperity and depression

Causes of Downward Sloping Demand Curve

- Income effect
 - Substitution effect
 - Law of diminishing marginal utility
 - New consumers entering market
 - Different uses of the commodity
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5. Demand Schedule and Demand Curve

- **Demand Schedule:** Table showing quantity demanded at different prices.
 - **Demand Curve:** Graph showing inverse relationship between price and quantity demanded.
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6. Demand Function and Equation

$$D_x = f(P_x, Y, P_r, T, A, P, D, E, \dots)$$

$$D_x = a - bP_x$$

Where:

- D_x : Demand for good X
 - P_x : Price of X
 - Y : Income
 - P_r : Price of related goods
 - T : Taste and preference
 - A : Advertisement
 - E : Expectation
 - a, b : Constants
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7. Movement and Shift in Demand Curve

- **Movement (Price factor):**
 - Extension in demand – due to fall in price
 - Contraction in demand – due to rise in price
 - **Shift (Non-price factors):**
 - Rightward shift – increase in demand
 - Leftward shift – decrease in demand
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8. Meaning of Supply

Supply refers to the quantity of a commodity that producers are **willing and able to offer for sale** at a given **price** during a **specific period of time**.

9. Determinants of Supply

- Price of the commodity
 - Price of other goods
 - Price of factors of production
 - Goal of the firm
 - Technology improvement
 - Government policy (tax, subsidy)
 - Expected future price
 - Number of firms
 - Infrastructure development
 - Natural factors
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10. Law of Supply

Definition: Other things remaining constant, the quantity supplied of a good **rises when its price rises** and **falls when its price falls**.

Assumptions

- No change in input prices, technology, or number of producers
- Constant government policy and goals

Exceptions to Law of Supply

- Future price expectations
 - Perishable goods
 - Agricultural goods
 - Auction sale
 - Change in other factors
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11. Supply Schedule and Supply Curve

- **Supply Schedule:** Table showing quantity supplied at different prices.
 - **Supply Curve:** Upward-sloping graph showing direct relationship between price and quantity supplied.
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12. Supply Function and Equation

$$S_x = f(P_x, P_o, P_f, T, G, \dots)$$
$$S_x = a + bP_x$$

Where:

- S_x : Supply of good X
 - P_x : Price of X
 - P_o : Price of other goods/factors
 - T : Technology
 - G : Goals of producers
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13. Movement and Shift in Supply Curve

- **Movement (Price factor):**

- Extension in supply – rise in price
 - Contraction in supply – fall in price
 - **Shift (Non-price factors):**
 - Rightward shift – increase in supply
 - Leftward shift – decrease in supply
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14. Market Equilibrium

The point where **demand and supply curves intersect** – determining the **equilibrium price** and **quantity**.

- If demand > supply → shortage → price rises
- If supply > demand → surplus → price falls